



Project Identification and Initiation

BIS601

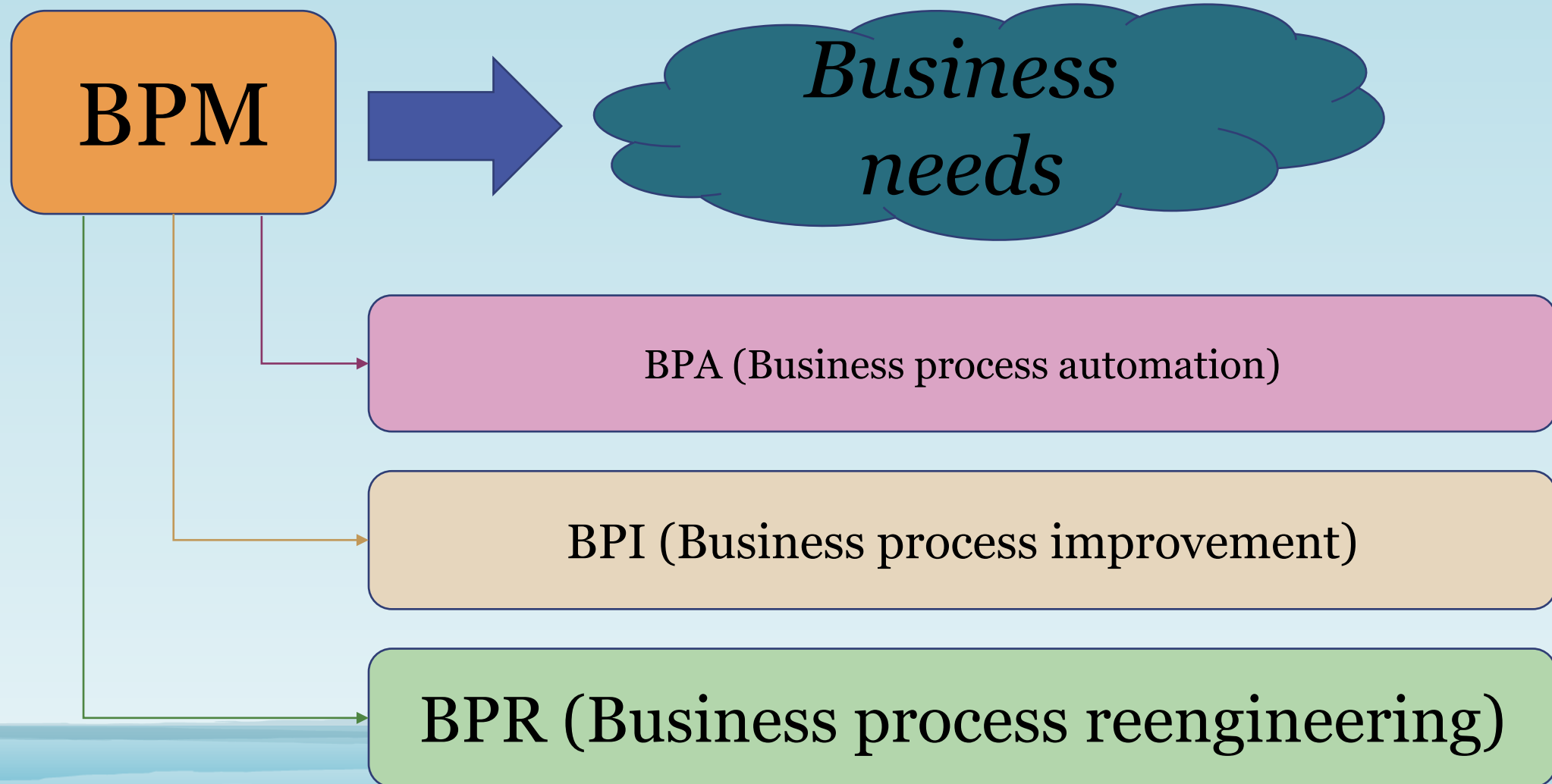
Project Identification

- **Business need** to build a system, e.g., a new marketing campaign, improving interactions with suppliers, a drop in market share, poor customer service levels, increased competition

Project Identification (cont.)

- Business process management (BPM) initiatives
 - BPM: a continuous cycle of systematically creating, assessing, and altering business processes
 - Study and improve business processes
 - Enhance process agility, the ability to adapt more rapidly and effectively
 - Improve process alignment with “best practices”
 - Increase process efficiency as cost are identified and eliminated

Project Identification (cont.)



Project Identification (cont.)

- Business need → business requirements, business value
- **Business requirements:**
 - Describe the reasons for developing the system and outline the capabilities it will provide the organization
 - Summarize the features that IS must include
- **Business value** gained from the system: tangible, intangible

Project Initiation

- Project identification – project that meets an important business need, identify business requirements and business value
- Project initiation – begin by preparing a system request

System Request

- **System request:** a document that describes the business reasons for building a system and the value that the system is expected to provide
- Five elements: project sponsor, business need, business requirements, business value, and special issues
- **Project sponsors**
 - The person who initiates the project and serves as the primary point of contact on the business side
 - E.g., CIO, CEO, Vice president for marketing

System Request (cont.)

- **Business need**
 - The business-related reason for initiating the system
 - E.g., reach a new market segment, decrease product defects
- **Business requirements**
 - The new or enhanced business capabilities that the system must have
 - E.g., provide online access to information, produce performance report

System Request (cont.)

- Business value
 - The benefits that the system will create for the organization
 - E.g., 3% increase in sales, \$200,000 cost savings from decreased supply costs

System Request (cont.)

- Special issues or constraints
 - Issues that should be considered in assessing the project, need approval of committee's decision
 - E.g., government-mandated deadline for May 30, top-level security clearance needed by project team to work with data

System Request (cont.)

- Approved → Feasibility analysis
- Example 01

Feasibility Analysis

- Feasibility analysis
 - Guides the organization in determining whether to proceed with the project
 - Identifies important risks associated with the project that must be managed if the project is approved
 - Three areas: technical, economic, organizational

Feasibility Analysis (cont.)

- **Technical feasibility**
 - Can we build it?
 - The extent to which the system can be successfully designed, developed, and installed
 - Users' and analysts' familiarity with the application
E.g., new business innovation
 - Familiarity with technology E.g., new technology

Feasibility Analysis (cont.)

- **Technical feasibility**
 - **Project size** E.g., number of people on the development team, length of time, number of features
 - **Compatibility** with existing technology in the organization

Feasibility Analysis (cont.)

- **Economic feasibility** (cost-benefit analysis)
 - Financial opportunities and risks
 - Development costs: one-time costs
 - Operational costs: ongoing costs
 - Total cost of ownership (TCO)
 - Tangible benefits
 - Intangible benefits / Intangible costs

Feasibility Analysis (cont.)

Development Costs	Operational Costs
Development team salaries	Software upgrades
Consultant fees	Software licensing fees
Development training	Hardware repair and upgrades
Hardware and software	Cloud storage fees
Vendor installation	Operational team salaries
Office space and equipment	Communications charges
Data conversion costs	User training
Tangible Benefits	Intangible Benefits
Increased sales	Increased market share
Reductions in staff	Increased brand recognition
Reductions in inventory	Higher-quality products
Reductions in IT costs	Improved customer service
Better supplier prices	Better supplier relations

Feasibility Analysis (cont.)

- **Organizational feasibility**
 - How well the system will be accepted by its users and incorporated into the ongoing operations of the organization
 - **Strategic alignment:** how well the goals of the project align with business objectives

Feasibility Analysis (cont.)

- **Organizational feasibility**
 - **Stakeholder analysis:** stakeholder – a person, group, or organization that can affect (or can be affected by) a new system
 - **Champion**
 - High-level executive, project sponsor
 - Political support by conveying the project's importance to other decision makers

Feasibility Analysis (cont.)

- **Organizational management**
 - Convey to the rest of the organization the belief that the system will make a valuable contribution
 - Necessary resources available
 - Encourage people to use the system and to accept many changes that the system will likely create
- **System users**
 - User participation – actively involved in the development of the system (e.g., performing tasks, providing feedback, making decisions)

Feasibility Analysis (cont.)

	Role	To Enhance Organizational Feasibility
Champion	A champion: • Initiates the project • Promotes the project • Allocates his or her time to the project • Provides resources	• Make a presentation about the objectives of the project and the proposed benefits to those executives who will benefit directly from the system. • Create a prototype of the system to demonstrate its potential value.
Organizational Management	Organizational managers: • Know about the project • Budget enough money for the project • Encourage users to accept and use the system	• Make a presentation to the management about the objectives of the project and the proposed benefits. • Market the benefits of the system, using memos and organizational newsletters. • Encourage the champion to talk about the project with his organizational newsletters or her peers.

Feasibility Analysis (cont.)

System Users	Users: • Make decisions that influence the project • Perform hands-on activities for the project • Ultimately determine whether the project is successful using or not using the system	• Assign users official roles on the project team. • Assign users specific tasks to perform, with clear deadlines. • Ask for feedback from users regularly (e.g., at weekly meetings).
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- Example 02